

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-33

CCMA, LLC,
COMPLAINANT,

v.

MEDITERRANEAN SHIPPING COMPANY S.A. and
MEDITERRANEAN SHIPPING COMPANY (USA) INC.
as agent for Mediterranean Shipping Company S.A.

RESPONDENTS.

**JOINT MOTION FOR APPROVAL AND CONFIDENTIAL TREATMENT
OF SETTLEMENT AGREEMENT AND RELEASE**

Complainant CCMA, LLC, (“Complainant”) and Respondent, MEDITERRANEAN SHIPPING COMPANY S.A., and MEDITERRANEAN SHIPPING COMPANY (USA) INC., AS AGENT FOR MEDITERRANEAN SHIPPING COMPANY S.A. (“Respondents”) (referred to jointly as the “Parties”) submit this joint motion in support of the Confidential Settlement Agreement and Release filed under seal concurrently herewith. The Parties believe that the Confidential Settlement Agreement meets the criteria set by the Federal Maritime Commission (“FMC” or “Commission”) for the approval of settlement agreements and therefore should be approved.

I. INTRODUCTION

This proceeding was commenced when Complainant filed a complaint on December 5, 2022, alleging that Respondents had violated sections 46 U.S.C. 41102(c) of the Shipping Act of

1984 and 46 C.F.R. §§ 545.4 and 545.5 by allegedly failing to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of CCMA. Complainant sought reparations for injuries allegedly caused by Respondents' conduct. The Parties established a procedural schedule and engaged in discovery. The Parties have engaged in settlement discussions and have reached agreement on a settlement embodied in the Confidential Settlement Agreement and Release filed in connection with the Motion for Approval.

II. THE CONFIDENTIAL SETTLEMENT AGREEMENT SHOULD BE APPROVED

“The Commission has a strong and consistent policy of”encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Aeneas Exporting LLC v. Carlo Shipping Intl, Inc.*, Docket No. 20-11, 2020 FMC LEXIS 189, at *2, 2020 WL 5942148, at *2 (Fed. Mar. Comm'n Aug. 24, 2020) (Wirth, C.J.) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)). “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. US. Atl. & Gulf/Australia - New Zealand Conf. and Columbus Line, Inc.*, Docket Nos. 88-2, 88-4, 1988 FMC LEXIS 25, at *19, 24 S.R.R. 1129, 1134 (All Aug. 12, 1988)). “Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *Mac Indus., Inc. d/b/a Mac Container Line v. COSCO Shipping Lines Co., Ltd.*, Docket No. 20-09, 2020 FMC LEXIS 181, at *3, 2020 WL 4464298, at *2 (Fed. Mar. Comm'n July 29, 2020) (Wirth, C.J.) (quoting *APM Terminals N Am., Inc. v. Port Auth. of N.Y. and N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

The Commission's policies, its Rules of Practice, and the Administrative Procedures Act all encourage settlements. As the ALJ recognized in *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978):

The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Evaluating this motion to approve the Confidential Settlement Agreement entails examining whether it “reflects careful consideration by the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N Am., Inc.*, 31 S.R.R. at 636 (quoting *Delhi Petroleum Pty. Ltd.*, 24 S.R.R. at 1134). The Commission reviews settlement agreements to ensure that they do not contravene any law or public policy, and are free of fraud, duress, undue influence, or mistake, or other defects which might make them not subject to approval. The primary factor to be considered, however, is the FMC's “strong and consistent policy of encouraging settlements” *APM Terminals N. Am., Inc.*, 31 S.R.R. at 625 (quoting *Inlet Fish Producers, Inc.*, 29 S.R.R. at 978).

In this action, the parties, both sophisticated corporate entities, arrived at the Confidential Settlement Agreement through arm's length negotiations and support this motion and the relief that it seeks. The Confidential Settlement Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Confidential Settlement Agreement is a fair and reasonable resolution of the disputes between the parties and reflects their desire to resolve their issues without the need for costly and uncertain litigation. For these reasons, the parties

respectfully request that the Confidential Settlement Agreement be approved and, on that basis, the complaint in this matter be dismissed with prejudice.

III. REQUEST FOR CONFIDENTIAL TREATMENT AND LEAVE TO FILE UNDER SEAL

The FMC routinely affords confidential treatment to settlement agreements under 46 C.F.R. § 502.5, recognizing that they “often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (North America) Inc.*, Docket No. 16-02, 2018 FMC LEXIS 41, at *6, 1 F.M.C.2d 135, 136-37 (Fed. Mar. Comm'n May 22, 2018). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, Docket No. 18-07, 2020 FMC LEXIS 24, at *6, 2020 WL 948582, at *3 (Fed. Mar. Comm'n Feb. 18, 2020) (Wirth, C.I.) (quoting *Al Kogan v. World Express Shipping, Transp. and Forwarding Servs., Inc.*, Docket No. 00-04, 29 S.R.R. 68, 70 n.7 (All Dec. 14, 2000)). This Confidential Settlement Agreement is the result of confidential commercial negotiations between the parties, and the parties therefore respectfully request leave to file the Confidential Settlement Agreement under seal for review and approval, and that the Confidential Settlement Agreement thereafter continue to be afforded confidential treatment by the FMC.

IV. CONCLUSION

The Confidential Settlement Agreement comprehensively addresses the issues relating to the above-referenced proceeding and meets the Commission's well-established criteria for approval of agreements settling administrative litigation.

WHEREFORE, the Parties request, for the reasons set forth herein, that their settlement be approved, and the Complaint in this Proceeding be dismissed with Prejudice.

Respectfully submitted,

/s/David Monroe

/s/Rachel Amster

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Attorneys for Respondent

Dated: May 12, 2023

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 12th day of May, 2023, the foregoing Motion for Approval and Confidential Treatment of Settlement Agreement and Release was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge Linda S. Harris Crovella
judges@fmc.gov

/s/ Cindy R. Engelbrecht
Cindy R. Engelbrecht